KASNEB PASTPAPERS · CPA STUDY MATERIALS

Principles of Auditing

Course: ATD — Accounting Technicians Diploma

Level: Level III

Last updated: 29 July 2026

Syllabus version: Based on the standard KASNEB ATD Level III Principles of Auditing syllabus topics — the nature and purpose of auditing, audit evidence, internal control, and the auditor's report. Authored from general auditing knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

> **Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. What is an audit, and why is it needed?

An **audit** is an independent examination of an organisation's financial statements (and the underlying records supporting them), carried out to enable the auditor to express an opinion on whether the financial statements give a true and fair view, prepared in accordance with an applicable financial reporting framework. Auditing is needed because of the **separation of ownership and management** in many organisations — owners/shareholders who don't manage the business day to day need independent assurance that the financial statements management has prepared can be relied upon.

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2. Types of audit

- **External audit** — an independent audit of the financial statements, typically carried out by an auditor from outside the organisation, resulting in an opinion addressed to shareholders/owners.
- **Internal audit** — an ongoing, independent appraisal function *within* an organisation, evaluating the effectiveness of internal controls, risk management and governance processes, reporting to management/those charged with governance rather than to external shareholders.
- **Statutory audit** — an audit required by law (e.g. for certain categories of company), as distinct from a **voluntary audit** commissioned even where not legally required, because owners/lenders want the added assurance.

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3. The auditor's independence and objectivity

Independence — both in fact (the auditor's actual state of mind and judgement is unbiased) and in appearance (a reasonable third party would not perceive a conflict of interest) — is fundamental to an audit's credibility; without it, an audit opinion carries little real value, since users could not trust it was formed free of bias. Threats to independence include: holding a financial interest in the client, providing certain other services to the same client that could create self-review issues, close personal relationships with client staff, and undue pressure from a client (e.g. threatening to withhold the audit fee or switch auditors over a disagreement).

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4. Audit evidence

Audit evidence is the information the auditor gathers and evaluates to form their opinion. Common methods of obtaining evidence include: **inspection** (examining records or physical assets), **observation** (watching a process being performed), **inquiry** (seeking information from knowledgeable people within or outside the entity), **confirmation** (obtaining direct written confirmation from a third party, e.g. a bank or customer), **recalculation** (checking the mathematical accuracy of figures), and **analytical procedures** (evaluating financial information through analysis of plausible relationships, e.g. comparing this year's figures to last year's or to budget, and investigating significant, unexplained differences).

Evidence should be sufficient (enough of it) and appropriate (relevant and reliable) to support the auditor's conclusions — evidence obtained directly by the auditor is generally considered more reliable than evidence obtained indirectly or provided by the client.

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5. Internal control systems

Internal control is the system of policies and procedures an organisation puts in place to help ensure orderly and efficient conduct of business, safeguard assets, prevent and detect fraud/error, and ensure the accuracy and completeness of accounting records. Common internal control components include: **segregation of duties** (no single individual should control an entire transaction from start to finish, e.g. the person who authorises a payment should not also be the person who records it and reconciles the bank account), **authorisation** (transactions above a certain value require approval from an appropriately senior person), **physical controls** (safeguarding assets, e.g. locked storerooms), and **arithmetic/accounting controls** (e.g. regular reconciliations).

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6. Tests of control versus substantive testing

Tests of control evaluate whether an internal control is operating effectively as designed (e.g. checking a sample of payment vouchers to confirm each was properly authorised before payment). **Substantive testing** directly tests whether the figures in the financial statements themselves are materially correct (e.g. confirming a sample of trade receivables balances directly with customers). Where tests of control show internal controls are operating effectively, the auditor may be able to reduce the extent of substantive testing performed — but weak or unreliable internal controls generally require more extensive substantive testing to compensate.

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7. Audit sampling, basics

Since auditors generally cannot practically examine every single transaction, **audit sampling** involves selecting a representative subset (sample) of a population (e.g. all sales invoices for the year) to test, and using the results to draw a conclusion about the whole population.

Sampling introduces **sampling risk** — the risk that the auditor's conclusion based on the sample would differ from the conclusion reached had the entire population been tested — which the auditor manages by selecting an appropriately sized, representative sample using a suitable selection method (e.g. random selection).

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8. The auditor's report

The **auditor's report** communicates the auditor's opinion to the users of the financial statements. An **unmodified (unqualified) opinion** states that the financial statements give a true and fair view, prepared in accordance with the applicable framework, with no material issues found. A **modified opinion** is issued where the auditor concludes the financial statements are materially misstated, or where the auditor was unable to obtain sufficient appropriate evidence — ranging from a **qualified opinion** ("except for" a specific matter), to an **adverse opinion** (the financial statements are materially and pervasively misstated), to a **disclaimer of opinion** (the auditor is unable to express an opinion at all, due to a pervasive lack of sufficient evidence).

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9. Full worked question — evaluating an internal control weakness

Scenario. In a small retail business, the same employee is responsible for receiving cash from customers, recording the sale in the till system, and reconciling the till at the end of each day.

Required: (a) Identify the internal control weakness in this arrangement. (b) Explain the risk this weakness creates. (c) Recommend an improvement.

Solution:

(a) The weakness is a **lack of segregation of duties** — one employee controls the entire cash-handling process from receipt through to recording and reconciliation, with no independent check by anyone else.

(b) This creates a risk that the employee could misappropriate cash and then adjust or omit the corresponding till record, and reconcile the till themselves to conceal the discrepancy — with no other person positioned to independently notice the fraud.

(c) **Recommendation:** separate these duties among different employees where practical (e.g. one employee handles cash and records sales, while a different, independent employee performs the till reconciliation) — or, where the business is genuinely too small to fully segregate duties, introduce a compensating control such as periodic, unannounced independent spot-checks of the till by a supervisor or owner.

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10. Practice examination — KASNEB-style paper (original, not a past paper)

> **Note on format.** This section is laid out the way a KASNEB ATD examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

ATD LEVEL III — PRINCIPLES OF AUDITING (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Define an "audit" and explain why the separation of ownership and management creates a need for auditing. *(8 marks)*

(b) Distinguish between an external audit and an internal audit. *(8 marks)*

(c) Distinguish between a statutory audit and a voluntary audit. *(4 marks)*

(Total: 20 marks)

QUESTION TWO

(a) Explain what is meant by auditor "independence," distinguishing independence in fact from independence in appearance. *(8 marks)*

(b) Outline THREE threats to auditor independence. *(9 marks)*

(c) Explain why independence is described as fundamental to an audit's credibility. *(3 marks)*

(Total: 20 marks)

QUESTION THREE

(a) Outline FOUR methods an auditor may use to obtain audit evidence, with a brief description of each. *(16 marks)*

(b) Explain what is meant by evidence being "sufficient and appropriate." *(4 marks)*

(Total: 20 marks)

QUESTION FOUR

In a small company, one accounts clerk raises purchase orders, receives the goods, approves the supplier invoice for payment, and records the transaction in the ledger, with no other staff member involved at any stage.

Required:

(a) Identify the internal control weakness present in this scenario. *(4 marks)*

(b) Explain the risk this weakness creates for the company. *(6 marks)*

(c) Recommend how the company could improve this control. *(6 marks)*

(d) Distinguish between a "test of control" and "substantive testing." *(4 marks)*

(Total: 20 marks)

QUESTION FIVE

(a) Explain the purpose of audit sampling, and what is meant by "sampling risk." *(10 marks)*

(b) Distinguish between an unmodified (unqualified) opinion and a qualified opinion in an auditor's report. *(6 marks)*

(c) Briefly explain when an auditor would issue a disclaimer of opinion. *(4 marks)*

(Total: 20 marks)

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11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(8 marks)* — An audit is an independent examination of financial statements enabling the auditor to express an opinion on whether they give a true and fair view; needed because owners/shareholders who don't manage the business day to day need independent assurance that management's prepared statements can be relied upon.

(b) *(8 marks)* — External audit: independent audit of financial statements by an outside auditor, opinion addressed to shareholders/owners. Internal audit: an ongoing appraisal function within the organisation, evaluating internal controls/risk management/governance, reporting to management/those charged with governance.

(c) *(4 marks)* — A statutory audit is required by law; a voluntary audit is commissioned even where not legally required, for the added assurance it provides to owners/lenders.

QUESTION TWO

(a) *(8 marks)* — Independence in fact: the auditor's actual state of mind and judgement is genuinely unbiased. Independence in appearance: a reasonable third party would not perceive a conflict of interest, even if none actually exists.

(b) *(9 marks — 3 marks each)* — Financial interest in the client; self-review threat from providing other services to the same client; close personal relationships with client staff (undue client pressure also acceptable).

(c) *(3 marks)* — Without independence, users could not trust that the audit opinion was formed free of bias, undermining the entire value and credibility of the audit.

QUESTION THREE

(a) *(16 marks — 4 marks each)* — Inspection (examining records/physical assets); observation (watching a process performed); inquiry (seeking information from knowledgeable people); confirmation (direct written confirmation from a third party) — recalculation or analytical procedures also acceptable for any of the four.

(b) *(4 marks)* — Sufficient means enough evidence has been gathered; appropriate means the evidence is both relevant and reliable to support the auditor's conclusions.

QUESTION FOUR

(a) *(4 marks)* — Lack of segregation of duties — one person controls the entire purchasing cycle from ordering through to recording, with no independent check.

(b) *(6 marks)* — This creates a risk of fraud or error going undetected — for instance, the clerk could raise orders for fictitious goods, approve payment, and record the transaction, with no other person positioned to notice.

(c) *(6 marks)* — Separate these duties among different employees (e.g. one raises orders, a different person approves payment, another records the transaction) — or, if genuinely impractical in a very small company, introduce independent periodic review/spot-checks as a compensating control.

(d) *(4 marks)* — A test of control evaluates whether an internal control is operating effectively as designed; substantive testing directly tests whether the figures in the financial statements themselves are materially correct.

QUESTION FIVE

(a) *(10 marks)* — Audit sampling allows the auditor to test a representative subset of a population and draw a conclusion about the whole population, since testing every transaction is generally impractical; sampling risk is the risk that the auditor's conclusion based on the sample would differ from the conclusion reached had the entire population been tested.

(b) *(6 marks)* — An unmodified opinion states the financial statements give a true and fair view with no material issues found; a qualified opinion is issued where the auditor concludes there is a material (but not pervasive) issue, or could not obtain sufficient evidence on a specific matter, expressed as "except for" that matter.

(c) *(4 marks)* — A disclaimer of opinion is issued when the auditor is unable to obtain sufficient appropriate evidence on which to base an opinion at all, and the possible effects are considered both material and pervasive.

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12. Exam technique and revision checklist

- Always define the specific term precisely (audit, independence, sufficient/appropriate evidence) before applying it to a scenario.
- Internal-control scenario questions ("identify the weakness"): name the specific principle breached (usually segregation of duties) explicitly, rather than a vague "there's a risk of fraud."
- Always follow "identify the weakness" with a clearly stated risk AND a specific, practical recommendation — a weakness identified without a recommendation typically only earns partial marks.
- Tests of control vs substantive testing: the key distinguishing point is *whether a control is operating effectively* (test of control) versus *whether the actual figures are correct* (substantive testing).
- Auditor's report questions: know the ladder of opinions in order — unmodified → qualified → adverse/disclaimer — and the specific trigger for each.

Quick revision — one line per topic:

1. Audit: independent examination enabling an opinion on true and fair view; needed due to separation of ownership and management.
2. External audit (financial statements, external auditor) vs internal audit (ongoing, internal, reports to management/governance).
3. Independence: in fact (actual unbiased judgement) and in appearance (perceived by a reasonable third party).
4. Evidence methods: inspection, observation, inquiry, confirmation, recalculation, analytical procedures.
5. Internal control: segregation of duties, authorisation, physical controls, arithmetic/accounting controls.
6. Test of control (is the control working?) vs substantive testing (are the figures correct?).
7. Audit sampling: test a representative subset; sampling risk is the risk the sample misleads about the whole population.

8. Auditor's opinions: unmodified (clean) → qualified (except for) → adverse (materially and pervasively misstated) → disclaimer (unable to form an opinion).

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.